FIXED INCOME ISSUE REPORT

2026. 10. 21

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October MPC preview

October hold a given; focus on next meeting

- We expect the Bank of Korea (BOK) to hold the base rate at 3% in October. Given easing inflation, the won's strength, and heightened volatility in the equity market, conditions do not warrant a third straight hike.
- As this rate-hike cycle has been driven by growth rather than inflation, the BOK's assessment—of whether GDP growth is buoying domestic consumption—is key to the BOK's future rate path. Given robust exports, however, the central bank's view on growth is unlikely to change significantly.
- There is a growing risk that our terminal rate forecast (3.75%) is overly aggressive. Still, a November rate hike appears likely.

October hold a given; signals for November key

The Monetary Policy Committee (MPC) meets on Oct 22, and we expect the Bank of Korea (BOK) to hold the base rate at 3%. When it raised rates in August, the BOK stated that "it is important to prevent the spread of inflationary pressure through preemptive action," but inflation data released since then have eased. CPI inflation slowed to 2.9% y-y in September (down from 3.1% y-y in August), and core inflation excluding food and energy eased to 2.8% y-y (from 3.4% y-y). Considering also the won's strength and increased volatility in the equity market, we do not think conditions call for a third consecutive hike (after rate hikes in July and August). At the National Assembly audit on Oct 12, Governor Shin Hyun-song responded to a question on whether the BOK would hike again in October by saying it would "review the matter from scratch," adding that the preemptive hike in August had "bought time." An October hold can therefore be regarded as a given.

Market attention has now turned to the size and pace of further hikes. We think it is unlikely that the BOK will downgrade its assessment of growth at the October meeting. As no revised economic outlook is set to be released, its view on growth should be conveyed through the wording of the monetary policy statement. Hard data have yet to weaken: Exports hit a monthly record of USD120.9b (+83% y-y) in September, and exports over Oct 1-10 rose 102% y-y. At the audit, the governor also noted that nominal GDP grew 26.4% y-y in 2Q and explained that improving income conditions would eventually translate to demand-side price pressure, adding that the GDP gap is "close to turning positive."

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From the perspectives of financial stability and inflation expectations, it is also reasonable to expect the tightening bias to continue. Apartment price growth in: 1) the Seoul Metropolitan Area accelerated to 0.20% w-w in the second week of October; and 2) Seoul rose from 0.09% w-w at end-September to 0.16% w-w. In addition, one-year-ahead inflation expectations have stalled at 2.7%. WTI climbing back above USD100/bbl is another upside risk to inflation.

That said, evidence that inflation is feeding through to price pressure remains weak. Services inflation slowed to 2.7% y-y in September (vs 3.7% y-y in August), and personal services inflation was flat at 3.5% y-y, while the rise in core inflation ytd has been driven by durables (4.9% y-y), reflecting higher semiconductor prices. Consumption growth, as indicated by card spending data, has also slowed somewhat in 2H. We cannot rule out the possibility that the recent decline in equity prices and higher volatility in the equity market are weighing on consumption through negative wealth effects.

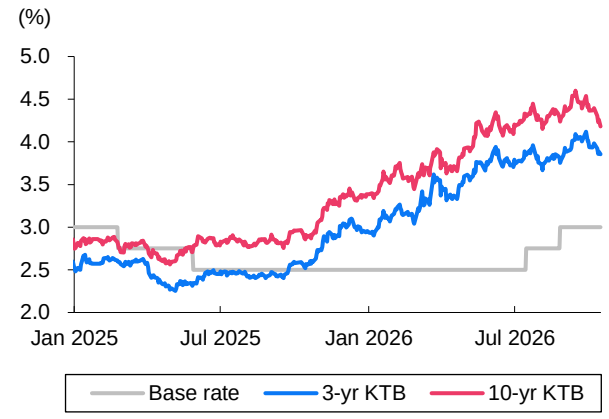
In this rate-hike cycle, we maintain our projection of three further hikes—one in November, one in February, and one in May, taking the terminal rate to 3.75%. However, slowing inflation, weakening consumption, and falling equity prices suggest that further rate hikes could prove lighter than currently expected—there is a risk that our terminal rate forecast is too aggressive. The BOK will release a report reviewing the conditions for a recovery in private consumption on the day of the MPC meeting (Oct 22), which report should offer an opportunity to gauge how it assesses domestic demand. We expect the statement to retain the phrase “the timing and pace of further rate hikes,” keeping the door open to a November hike. However, rather than emphasizing preemptive action as in August, the signal is likely to soften towards monitoring demand pressure and whether it is broadening. Our reassessment of the rate path should take clearer shape with the announcements of: 1) the advance estimate of 3Q GDP (due later this month); 2) October CPI; and 3) the BOK’s revised economic outlook in November.

Yields well off their peaks; further declines to be limited

The 3-year KTB yield has fallen 24bps from its Sep 28 peak and the 10-year KTB yield is down 40bps from its Sep 15 peak, narrowing the spread between the 3-year KTB yield and the base rate to 88bps. Reduced KTB issuance in October and foreign investor buying of KTB futures and short-term cash bonds drove the recent decline in yields, while the equity market correction amplified the move.

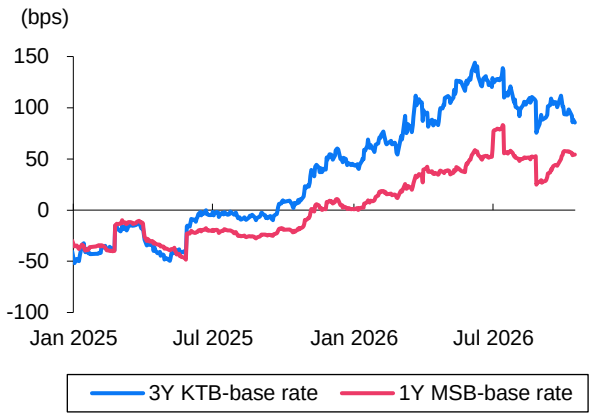
However, it would be premature to read the recent declines as a trend, and even if yields fall further, room for additional dips appears to be limited. The tightening cycle is not over, and already-lowered expectations for the policy path have limited scope to retreat further. After the October hold, we expect differences in market views on the terminal rate to narrow as the November hike and the BOK’s economic outlook are confirmed. Bond yields may remain volatile in the process.

KTB yields falling since peaking in September



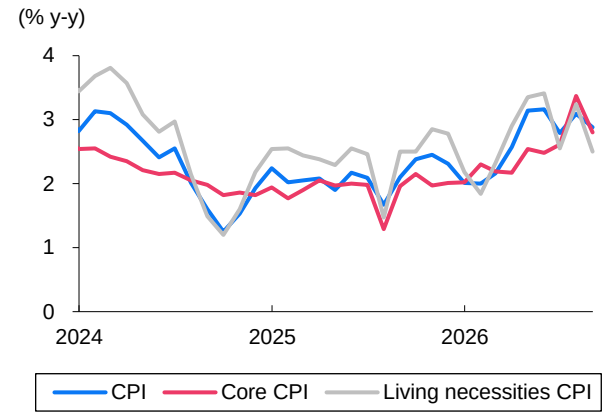
Source: KOFIA, Bank of Korea, Samsung Securities

Spread over base rate narrowing recently



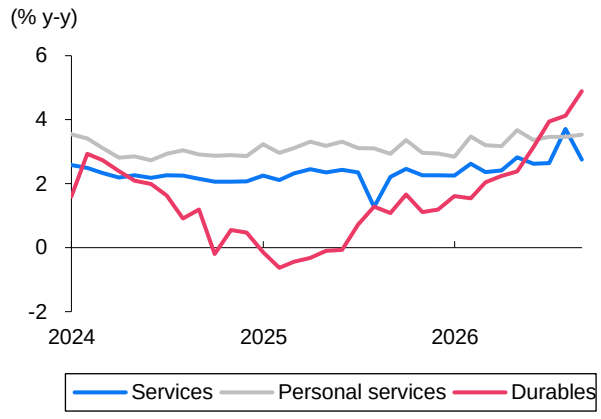
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CPI and core inflation both slowed in September



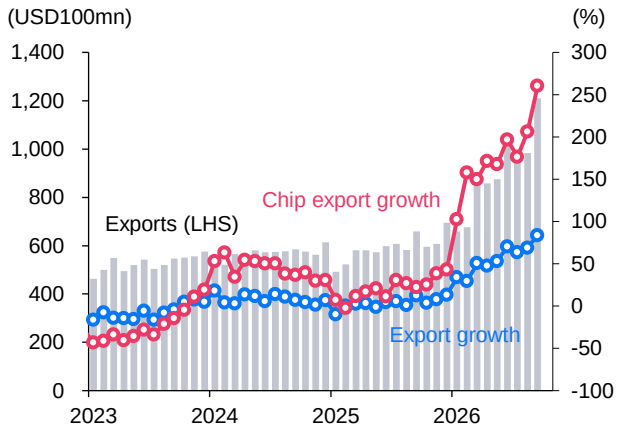
Note: Core inflation excludes food and energy
Source: Ministry of Data and Statistics, Samsung Securities

Durables drive core inflation; services flat



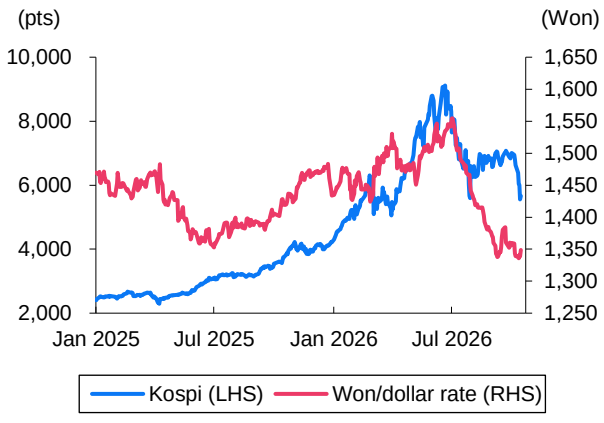
Source: Ministry of Data and Statistics, Samsung Securities

Record September exports; growth still solid



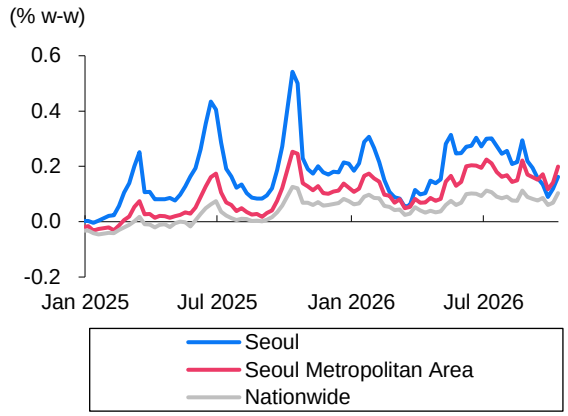
Source: Ministry of Trade and Industry, Samsung Securities

Equity correction continues; won stays strong



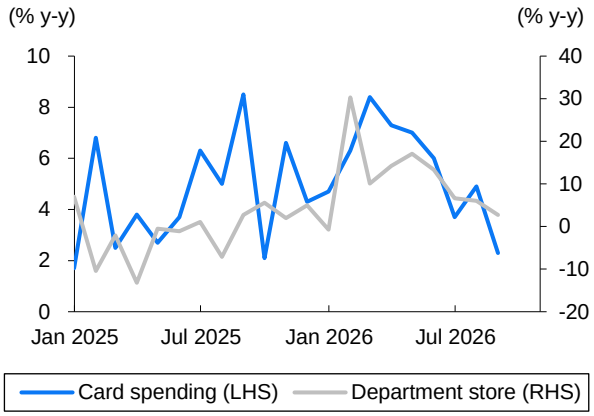
Source: Korea Exchange, Bank of Korea, Samsung Securities

Apartment price growth in SMA picks up again



Source: Korea Real Estate Board, Samsung Securities

Card spending growth slowed in 3Q



Source: MOFE, Samsung Securities

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